



Independent Equity Research
(May 2025)

Aya Gold & Silver (TSX: AYA)

Rating	BUY
Target Price	CA\$19–22
Return to Target	60%

Market Data

Market Cap	1.26B
Share Price	8.88
Average Daily Volume (K)	1160
Diluted Shares Outstanding (M)	136.65
Cash (\$M)	18.319
Debt (\$M)	83.159
Enterprise Value (\$B)	1.32B

Analysis Highlights

WACC	7%
Silver Price	\$35/oz
Recovery Rate	85%
Equity Value (Implied)	\$125.9M
Equity Value per Share	Us \$9.22

Valuation Metrics Comparison

Metric	AYA	Peers / Benchmark
P/CF	~5x	First Majestic: ~8x Fortuna Silver: ~10x
P/S	~20x	Industry avg: 3–6x

Scenario risk: Sustained silver price ≤US\$30/oz or cost inflation could limit upside; however, Aya’s low-cost structure offers resiliency.



Since March 2025, a bullish RSI divergence combined with rising volume led to a breakout above the \$10.86 resistance and the 20-day moving average, both now acting as secondary support. The price is currently holding above the primary support at \$11.85, consolidating within a bullish structure despite short-term

Industry & Silver Market Fundamentals

Global silver production in 2024 reached ~819.7 Moz vs. demand of ~1.16 B oz—a structural deficit of ~149 Moz, per the World Silver Survey 2025. Demand is being driven by electronics, solar PV, and EVs—projected to account for ~90 Moz by 2025. Solar demand may surge to ~273 Moz by 2030, and emerging EV battery and 5G trends could add ~1 kg silver per pack. Institutional investor interest and ETF inflows are accelerating, as silver gains industrial prestige alongside gold.

Aya’s Competitive Positioning

Aya is a pure-play, high-grade, low-cost mid-tier silver producer. With Q1–2025 output topping 1.07 Moz, Zgounder is among the largest single-asset silver operations. Boumadine (PEA stage) adds polymetallic optionality. Supportive external financing—such as US\$25 M via EBRD for Boumadine—reinforces Aya’s strategic footing and investor confidence.

Company Overview

Aya Gold & Silver Inc., founded in 2007 and based in Mount Royal, Canada, focuses on exploring, evaluating, and developing precious-metal projects in Morocco. Its flagship Zgounder mine—260 km east of Agadir—spans ~350 km² and is wholly owned. The Boumadine project, a strategic polymetallic opportunity, is backed by a US\$25 M EBRD facility to support engineering and local engagement. The management team, re-elected with >85% shareholder approval at the June 20 AGM, brings strong governance and operational continuity.

Operational & Financial Momentum (Q1 2025)

- Production: 1.07 Moz (+192% YoY); 249,743 t ore processed (+207%)
 - Costs: Cash cost fell to US\$18.93/oz (vs. US\$20.31 in Q1 2024)
 - Recovery: Averaged 82%, with May hitting 88%, outperforming targets
 - Revenue: US\$33.8 M (+566% YoY); 12-month revenue of US\$67.9 M (+81%)
 - Cash flow: Operating cash flow of US\$7.9 M vs. –US\$3.7 M previously
- Aya’s sustained ramp-up, cost discipline, and financing support confirm strong operational and financial momentum.

Sensitivity Impact

- IRR highly responsive to: Spot silver price movements / Mining cost per tonne
- Q1–2025 showed operating performance (88% recovery, >3,000 tpd throughput) aligned with bullish trajectory

IRR						
Silver Price						
		25	30	35	40	45
Mining Cost (\$/tonne)	70	10.0%	11.4%	12.8%	14.1%	15.4%
	65	11.3%	12.6%	13.9%	15.2%	16.4%
	60	12.4%	13.7%	15.0%	16.2%	17.4%
	55	13.6%	14.8%	16.0%	17.2%	18.4%
	50	14.6%	15.8%	17.0%	18.2%	19.3%
	45	15.7%	16.8%	18.0%	19.1%	20.1%
	40	16.6%	17.8%	18.9%	19.9%	21.0%